

SSC
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GSEB | ENGLISH MEDIUM

ECONOMICS

STANDARD 12

CHAPTER 5

Poverty

Complete Concept Notes | Textbook-Based | Board Exam Preparation

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Learn the Concept. Understand the Logic. Write Better Answers.

How These Notes Are Built

These notes are rebuilt from the official GSEB Class 12 Economics Chapter 5 - Poverty. The earlier notes you supplied are used to cross-check that no textbook point, table or board topic is missed.

- Poverty is explained through both income and non-income approaches.
- Absolute poverty, relative poverty and poverty-line evolution are separated clearly.
- All 11 textbook indicators are explained with source-era data tables.
- All causes are arranged as Historical, Rural, Economic, Social and Other causes.
- All measures to reduce poverty are covered, including employment programmes, housing, social security and financial inclusion.
- Old figures and scheme details are clearly marked as textbook-era data.

TEXTBOOK DATA NOTE

Many statistics in this chapter are from Census 2011, Economic Survey 2015-16, HDR 2015 and older planning-era committees. They are preserved because they belong to the prescribed chapter; they should not be quoted as current statistics unless independently updated.

Chapter at a Glance

Section	Topic	Core Idea
5.1	Meaning of Poverty	Income poverty vs broader non-income poverty
5.2	Nature of Poverty	Absolute poverty + Relative poverty
5.2.1.1	Poverty Line	Minimum needs / expenditure and committee approaches
5.3	Indicators of Poverty	11 economic and social indicators
5.4	Causes of Poverty	Historical, rural, economic, social, other
5.5	Measures to Reduce Poverty	Productivity, jobs, welfare, housing, inclusion

EXAM IMPORTANT

The central idea is: Poverty is not only low income. Modern poverty also means deprivation of health, education, clean water, housing, opportunities, dignity and choice.

Learning Objectives

- define poverty using traditional income and modern non-income approaches.
- distinguish absolute and relative poverty.
- explain poverty line and the textbook committee-based evolution.
- interpret the textbook's historical poverty tables correctly.
- explain all 11 indicators of poverty.
- explain historical, rural, economic, social and other causes of poverty.
- explain all 10 major measures to reduce poverty.
- explain employment-oriented anti-poverty programmes.
- understand Lorenz Curve and Gini Co-efficient in the chapter context.
- answer MCQs, board questions and case-based applications.

Introduction - Why Poverty is More than Low Income

Poverty exists when people cannot satisfy minimum basic needs. In the textbook, poor households may lack adequate food, clothing, housing and other basic facilities, while inequality separates them sharply from high-income groups.

The chapter connects genuine development with reduction in both poverty and inequality. Economic growth alone is not treated as sufficient if large sections remain deprived.

SMIT SIR'S NOTE

The chapter's development message connects directly with Chapter 2: human development is the goal; economic development is a means.

5.1 Meaning of Poverty

Simple Meaning: Poverty is a condition in which people cannot achieve the minimum standard of living or satisfy basic needs.

KEY TERM - POVERTY

A condition of deprivation in which minimum requirements for a reasonable standard of life cannot be adequately satisfied.

The chapter says poverty is also a relative concept: what counts as an acceptable minimum can differ across time, place and society.

Traditional vs Modern Meaning of Poverty

Approach	Main Focus	What It Looks At
Traditional / Income Poverty	Income or consumption expenditure	Can minimum material needs be purchased?
Modern / Non-Income Poverty	Wider human deprivation	Health, education, sanitation, clean water, opportunities, freedom and dignity

REMEMBER THIS

Income poverty is one dimension. Modern poverty is multidimensional deprivation.

Traditional Meaning - Income Poverty

Under the income approach, poverty is judged using the minimum per capita consumption expenditure required to obtain basic necessities.

People whose income or expenditure falls below that minimum are treated as poor under this approach.

KEY TERM - POVERTY LINE

A normative minimum level of per capita consumption expenditure used to identify people unable to satisfy minimum basic needs.

Limitation: If the poverty line focuses only on food/calories, it can become closer to a starvation line than a complete measure of human poverty.

Modern Meaning - Non-Income Poverty

The modern approach asks more than 'How much does a person earn?' It asks whether a person has access to the conditions required for a meaningful life.

- Knowledge and education
- Long and healthy life
- Good standard of living
- Individual freedom
- Availability of opportunities
- Choice and self-respect
- Clean water, sanitation, housing and healthcare

SMIT SIR'S NOTE

The textbook connects this broader approach with human-development ideas used by UNDP.

5.2 Nature of Poverty

Economists divide poverty in the chapter into two major forms: Absolute Poverty and Relative Poverty.

Type	Main Question
Absolute Poverty	Can the person meet a fixed minimum standard of basic needs?
Relative Poverty	How poor is one group compared with other income groups in the same society?

5.2.1 Absolute Poverty

Meaning: A person is absolutely poor when income or expenditure falls below the minimum required for basic needs and services.

Absolute poverty is also called complete poverty in the chapter.

Why useful? It allows government to identify people below a defined threshold and design target-oriented programmes.

EXAM IMPORTANT

Absolute poverty is directly connected with the poverty line.

5.2.1.1 Poverty Line - Core Idea

To measure absolute poverty, economists estimate the minimum consumption expenditure needed to meet essential needs such as food and other basic requirements.

The chapter traces how India's poverty line changed from mainly calorie-based approaches toward broader expenditure measures.

Evolution of Poverty Line - Textbook Table

TEXTBOOK DATA NOTE

The following figures are historical textbook data. Learn them as prescribed-source facts, not as current poverty thresholds.

Committee / Year	Textbook Poverty-Line Basis
ICMR	Rural 2400 calories/day; Urban 2100 calories/day
Planning Commission, 1969	Rs. 20 per capita per month at 1960-61 prices
Dandekar and Rath	Rural Rs. 15; Urban Rs. 22.50 per capita/month at 1960-61 prices
D. T. Lakdawala Committee	Rural Rs. 49; Urban Rs. 57 per capita/month using 1973-74 prices
Suresh Tendulkar Committee (2009)	Rural Rs. 816; Urban Rs. 1000 per month for 2011-12; education and health expenditure included
International Poverty Line	Textbook: \$1.25/day (2005 PPP) later \$1.90/day (2015 PPP)

Why the Poverty-Line Method Changed

A calorie-only method is too narrow because poverty is not only hunger. A person may receive enough calories but still lack education, healthcare, sanitation, housing and clean water.

The textbook therefore highlights the Tendulkar approach as more progressive because expenditure on education and health was also considered.

REMEMBER THIS

Poverty = economic deprivation. Hunger = physical deprivation. They overlap, but they are not identical.

Measurement of Absolute Poverty in India - Historical Textbook Data

TEXTBOOK DATA NOTE

Historical poverty estimates from the textbook/Economic Survey 2015-16.

Area	2004-05 (%)	2011-12 (%)
Rural	41.8	25.7
Urban	25.7	13.7
Total	37.2	21.9

Interpretation: The textbook shows a significant decline in poverty between the two periods, but poverty remained substantial.

State-Wise Magnitude of Poverty - Historical Textbook Groups

TEXTBOOK DATA NOTE

The state categories below are historical 2011-12 textbook data.

Poverty Group	States Listed in the Textbook
Below 10%	Goa, Kerala, Himachal Pradesh, Sikkim, Punjab, Andhra Pradesh
10-20%	Jammu & Kashmir, Haryana, Tamil Nadu, Gujarat, Rajasthan, Maharashtra, Tripura, Nagaland, Meghalaya
20-30%	West Bengal, Mizoram, Karnataka, Uttar Pradesh
30-40%	Madhya Pradesh, Assam, Odisha, Bihar, Arunachal Pradesh, Manipur, Jharkhand, Chhattisgarh

SMIT SIR'S NOTE

The chapter's historical discussion identifies Goa as the lowest-poverty state and Chhattisgarh as the highest in the cited source period.

5.2.2 Relative Poverty

Meaning: Relative poverty compares income levels of different groups in the same society. A lower-income group is relatively poor compared with higher-income groups.

It is therefore closely connected with income inequality, not only with minimum survival needs.

KEY TERM - RELATIVE POVERTY

Poverty measured in relation to the income and living standards of other groups in society.

How Relative Poverty is Studied

Hypothetical Group	Income Group
Group 1	Rs. 0 - 30,000
Group 2	Rs. 30,000 - 1 lakh
Group 3	Rs. 1 lakh - 3 lakh
Group 4	Rs. 3 lakh - 10 lakh
Group 5	Rs. 10 lakh and above

Group 1 is relatively poorer than Group 2; Group 2 is poorer relative to Groups 3, 4 and 5.

KEY TERM - LORENZ CURVE

Graphical representation of distribution of income or property.

KEY TERM - GINI CO-EFFICIENT

Numerical measure of inequality based on the Lorenz Curve; textbook range 0 to 1, where a higher value means greater inequality.

Absolute Poverty vs Relative Poverty

Basis	Absolute Poverty	Relative Poverty
Main Focus	Minimum basic-needs threshold	Income inequality between groups
Reference Point	Poverty line / minimum standard	Income of other groups
Question Asked	Can basic needs be met?	How poor is one group compared with another?
Use	Identifying BPL / target groups	Studying inequality and distribution
Tools	Consumption / poverty line	Income groups, Lorenz Curve, Gini Co-efficient

5.3 Indicators of Poverty

Indicators show the different dimensions through which poverty can be identified and measured. The chapter gives 11 indicators.

No.	Indicator
1	Per Capita Household Consumption Expenditure
2	Level of Malnutrition
3	Life Expectancy and Infant Mortality Rate
4	Medical Facilities
5	Drinking Water
6	Provision of Toilets
7	Housing
8	Electricity Consumption
9	Education
10	Unequal Distribution of Income and Property
11	High Rate of Unemployment

5.3.1 Per Capita Household Consumption Expenditure

Meaning: Average expenditure by households on goods and services, calculated per person.

A low per capita consumption level suggests that households are unable to enjoy the quantity and quality of consumption seen in richer economies.

TEXTBOOK DATA NOTE

Textbook historical 2014 comparison (US\$, fixed 2005 prices): US 31,469; UK 25,828; Japan 22,149; China 1,420; India 725; Pakistan 603.

SMIT SIR'S NOTE

Do not treat these old numbers as current. The exam value is the concept: lower consumption expenditure reflects lower material living standards.

5.3.2 Level of Malnutrition

Meaning: Malnutrition exists when food intake is insufficient in calories, proteins, carbohydrates, vitamins or minerals.

Low income and unequal income distribution can prevent people from obtaining nutritious food even when national agricultural production increases.

TEXTBOOK DATA NOTE

The textbook table shows malnourished population declining overall from 23.7% in 1990-92 to 15.2% in 2014-16, with an increase in the 2005-07 period.

5.3.3 Life Expectancy and Infant Mortality Rate

KEY TERM - LIFE EXPECTANCY

Average number of years a newborn is expected to live under prevailing conditions.

KEY TERM - INFANT MORTALITY RATE

Number of deaths of children before age one per 1,000 live births.

Both reflect the quality of nutrition, sanitation, healthcare, vaccination and living conditions.

TEXTBOOK DATA NOTE

Historical 2014 textbook data: India life expectancy 68.0 years and infant mortality 39 per 1,000; the chapter compares these with Norway, USA, Sri Lanka and China.

REMEMBER THIS

Better conditions -> higher life expectancy + lower infant mortality.

5.3.4 Medical Facilities

Availability of doctors, nurses and other health workers is a major poverty indicator because poor access to health services reduces quality of life and productivity.

TEXTBOOK DATA NOTE

The chapter uses historical developing-vs-developed-country doctor ratios and disease statistics as illustrative textbook data.

Conceptual link: Poor health -> lower work capacity -> lower income -> deeper poverty.

5.3.5 Drinking Water

Clean drinking water is closely connected with health. Polluted water raises the risk of water-borne disease and increases medical burden on poor households.

TEXTBOOK DATA NOTE

The textbook cites Census 2011: 63.3% families with treated tap-water source, 8.67% untreated tap-water, and 26% using other sources.

5.3.6 Provision of Toilets

Sanitation affects health, cleanliness and productivity. Lack of toilet facilities increases exposure to disease and worsens physical quality of life.

TEXTBOOK DATA NOTE

The textbook table reports 66% houses with toilet facility within house and 34% without such facility in the cited classification.

SMIT SIR'S NOTE

Sanitation is an example of non-income poverty: even when some income exists, lack of safe facilities is still deprivation.

5.3.7 Housing

Housing is a basic human need. Poverty can be observed through unsafe dwellings, slums, overcrowding and absence of facilities such as water, drainage and electricity.

The textbook treats housing quality and number of persons/rooms as important measures of existing poverty.

5.3.8 Electricity Consumption

Electricity improves both production and quality of life. Low per capita electricity consumption can indicate weaker productive capacity and lower household living standards.

Economic link: Electricity supports industry, education, communication and domestic welfare.

5.3.9 Education

Low education and lack of training reduce productivity, employment options and wages. As a result, poverty can continue from one generation to another.

TEXTBOOK DATA NOTE

The textbook uses historical literacy data such as India 74.04% (2011), Brazil 91%, Nepal 60% and Pakistan 55%.

REMEMBER THIS

Education fights poverty through skills -> productivity -> better job opportunities -> higher income.

5.3.10 Unequal Distribution of Income and Property

Economic growth can occur without equal distribution of benefits. If a larger share of national income goes to a small rich group, many people may remain deprived.

TEXTBOOK DATA NOTE

The textbook cites top-1% income-share figures for 1998 and 2012 for the US, UK and India as an inequality example.

SMIT SIR'S NOTE

This indicator connects directly with relative poverty.

5.3.11 High Rate of Unemployment

Unemployment directly reduces household income. When willing and able workers cannot find work at prevailing wages, families struggle to meet basic needs.

The textbook links poverty with insufficient employment creation compared with labour-force growth.

TEXTBOOK DATA NOTE

Historical unemployment figures in the chapter belong to the early-2010s source period and should be treated only as textbook data.

Poverty Indicators - How They Connect

Problem	Immediate Effect	Poverty Effect
Low Education	Low skill / productivity	Low wages and fewer jobs
Malnutrition	Weak health / work capacity	Low productivity and medical burden
Unsafe Water / Sanitation	Disease	Lost work and higher expenses
Poor Housing	Unsafe living conditions	Low quality of life
Unemployment	No / unstable income	Basic needs unmet
Income Inequality	Benefits concentrated	Relative poverty remains high

5.4 Causes of Poverty

Cause Group	Main Causes
Historical Reasons	Colonial exploitation, agriculture/trade damage, decline of cottage industries
Rural Causes	Natural causes + demographic factors
Economic Factors	Low farm productivity, land inequality, weak cottage industry, price rise, unemployment
Social Reasons	Low education, gender inequality
Other Reasons	War, defence expenditure, defective policies

5.4.1 Historical Reasons

The textbook links long-run Indian poverty with colonial exploitation that damaged both agriculture and indigenous industry.

- Agriculture: rain dependence, weak irrigation investment, zamindari/tenancy problems, debt burden and land loss.
- Trade and Industry: colonial trade and tax policies favoured British goods and reduced Indian competitiveness.
- Small and Cottage Industries: many traditional industries declined, creating unemployment.
- Drain / Surplus Transfer: resources generated in India were used to support development elsewhere rather than domestic development.

5.4.2 Causes of Rural Poverty

The textbook divides rural causes into Natural Causes and Demographic Factors.

5.4.2.1 Natural Causes

Agriculture depends heavily on natural factors such as rainfall and weather. Repeated drought, uncertain monsoon and floods can reduce production and make farm income unstable.

REMEMBER THIS

Uncertain nature -> uncertain output -> uncertain income -> rural poverty.

5.4.2.2 Demographic Factors

The chapter explains that rapid population growth can keep per capita income low and increase labour supply faster than employment opportunities.

- Large family size increases the number of dependents.
- Rapid labour-force growth can reduce wages when jobs do not increase equally.
- Low per capita income lowers quality of life.

5.4.3 Economic Factors

1. Low Agricultural Productivity per Labour

Poor irrigation, insufficient technology, lack of education/training, low investment and heavy population pressure reduce productivity.

Economic Logic: Low output per worker -> low farm income -> poverty.

2. Unequal Distribution of Land and Property

Historical concentration of land reduced incentives and opportunities for cultivators without ownership.

Economic Logic: Asset inequality creates income inequality and weak investment.

3. Minimal Development of Small and Cottage Industries

The textbook argues that insufficient development of rural small/cottage and allied activities reduced non-farm employment.

Economic Logic: Fewer alternative jobs -> seasonal unemployment.

4. Rapid Increase in Prices

Price rise reduces the purchasing power of low-income families and makes basic goods less affordable.

Economic Logic: Inflation hurts poor households strongly because necessities form a large share of spending.

5. High Rate of Unemployment

Seasonal and disguised unemployment keep incomes low, especially in agriculture-dependent rural areas.

Economic Logic: No adequate job -> no stable income -> poverty.

5.4.4 Social Reasons

1. Low Level of Education: Low education and skills reduce use of technology, farm productivity and access to alternative employment.
2. Gender Inequality: Poor health, low education, fewer economic opportunities and unequal wages for women can reduce family income and deepen poverty.

SMIT SIR'S NOTE

Gender inequality is both a social problem and an economic loss because a large part of the population cannot participate fully in productive activity.

5.4.5 Other Reasons

1. War: Resources shift from development/basic goods to military needs; scarcity and price rise may follow.
2. Increase in Defence Expenditure: The textbook treats high security expenditure as potentially reducing resources available for development programmes.
3. Defective Policies: Neglect of agriculture, small/cottage industries, lack of policy continuity and weak co-ordination can limit poverty reduction.

The Poverty Trap - A Simple Chain

Stage	How Poverty Repeats
Low Income	Family cannot afford good food, education or health
Low Human Capital	Poor health and skills reduce productivity
Low Productivity	Worker earns low wages
Low Saving / Investment	Few assets and opportunities are built
Low Income Again	The cycle repeats

EXAM IMPORTANT

Many anti-poverty policies work by breaking one link in this cycle - education, health, jobs, credit, housing or food security.

5.5 Measures to Reduce Poverty

No.	Measure
1	Increase Agricultural Productivity
2	Development of Small Scale Industries
3	Development of Unorganised Sector
4	Use of Appropriate Tax Policy
5	Rise in Human Capital Investment
6	Goods and Services at Reasonable Rates
7	Employment Programmes
8	Housing Schemes
9	Social Security Schemes
10	Jan Dhan Yojana / Financial Inclusion

5.5.1 Increase Agricultural Productivity

Use better technology, irrigation, infrastructure, regulated markets and support systems so output per worker and farm income rise.

Why It Helps: Higher productivity increases rural income and employment.

5.5.2 Development of Small Scale Industries

Encourage small and cottage industries because they generate employment and income with relatively broad local participation.

Why It Helps: More non-farm jobs reduce seasonal poverty.

5.5.3 Development of Unorganised Sector

Improve working conditions, social protection, insurance, pensions and access to credit for vulnerable informal workers.

Why It Helps: Protection reduces income insecurity.

5.5.4 Appropriate Tax Policy

Use progressive taxation and welfare expenditure to reduce inequality and finance programmes for poor households.

Why It Helps: Redistribution can improve socio-economic conditions.

5.5.5 Rise in Human Capital Investment

Spend on education, skill development, training and research so productivity and wages increase.

Why It Helps: Skills create better job choices.

5.5.6 Goods and Services at Reasonable Rates

Use systems such as public distribution/ration arrangements so poor households can obtain essential goods at affordable prices.

Why It Helps: Food security protects real income.

5.5.7 Employment Programmes

Employment generation and poverty reduction are closely linked. The textbook discusses both self-employment and wage-employment programmes, along with PMRY and NREGA/MGNREGA.

5.5.7.1 Self-Employment Programmes

The textbook explains IRDP as a major anti-poverty programme for rural poor and lists several programmes associated with self-employment.

- IRDP - Integrated Rural Development Programme
- TRYSEM - Training of Rural Youth for Self Employment
- DWCRA - Development of Women and Child in Rural Areas
- MWS - Million Wells Scheme
- SITRA - Supplying Improved Tool Kit to Rural Artisans
- Ganga Welfare Scheme

TEXTBOOK DATA NOTE

The textbook states that IRDP and related programmes were merged into Suvarna Jayanti Gram Swarojgar Yojana on 1 April 1999. These are planning-era programme details.

5.5.7.2 Wage Employment Schemes

These programmes were aimed at poor households dependent mainly on physical labour and also helped create rural infrastructure.

- Jawahar Rojgar Yojana - JRY
- Employment Assistance Scheme - EAS

SMIT SIR'S NOTE

The textbook also highlights the usefulness of wage-employment schemes during slack seasons and natural calamities.

5.5.7.3 Prime Minister Rojgar Yojana - PMRY

PMRY is presented as a programme for educated unemployed people to start ventures and create self-employment.

TEXTBOOK DATA NOTE

PMRY is a historical textbook programme reference from the 1990s.

5.5.7.4 NREGA / MGNREGA

The textbook describes the National Rural Employment Guarantee Act, 2005 as an employment-guarantee measure linked with public works and asset creation, and states that it was renamed/reformed as MGNREGA in 2009.

REMEMBER THIS

Board memory: NREGA 2005 -> MGNREGA 2009 -> 100 days employment guarantee in the textbook framing.

TEXTBOOK DATA NOTE

Use the scheme details as printed in the prescribed text. Programme rules and implementation details can change over time.

5.5.8 Housing Schemes

Housing programmes reduce poverty by improving shelter and basic facilities while also creating employment through construction.

- Indira Awas Yojana - textbook reference from 1985-86
- Rajiv Gandhi Yojana - textbook reference from 2013-14
- Prime Minister Awas Yojana - textbook notes introduction for urban poor from 25 June 2015

TEXTBOOK DATA NOTE

These are scheme references as presented in the textbook period.

5.5.9 Social Security Schemes

Social security protects vulnerable families from shocks such as old age, accident, death or crop failure.

- Atal Pension Scheme
- Prime Minister Security Scheme
- Jivan Jyoti Scheme
- Prime Minister Fasal Bima Yojana

TEXTBOOK DATA NOTE

The textbook includes specific premium/insurance amounts from 2015-era schemes. Those monetary figures may change and are best treated as historical textbook facts.

5.5.10 Jan Dhan Yojana

Core Idea: Financial inclusion can reduce poverty by bringing poor households into the formal banking system.

- Banking access for previously unbanked households
- Zero-balance account feature in the textbook description
- Direct transfer of government subsidy/benefit into accounts
- Access to overdraft/microfinance-related facilities
- Reduction in regional and financial exclusion

TEXTBOOK DATA NOTE

The textbook gives launch-day account numbers, 2014-15 overdraft amounts and other historical figures. These notes focus on the exam concept and label old figures as source-era information.

Cause -> Measure Mapping

Cause of Poverty	Suitable Measure
Low Farm Productivity	Agricultural productivity programmes
Seasonal Unemployment	Small industries + employment schemes
Low Skills	Human capital investment
High Prices	Reasonable-price goods / PDS
Income Inequality	Appropriate tax and welfare policy
Informal Worker Insecurity	Unorganised-sector protection / social security
Lack of Housing	Housing schemes
Financial Exclusion	Jan Dhan / formal banking access

Common Mistakes Students Make

COMMON MISTAKE

Wrong idea: Poverty means only hunger.

Correct idea: The modern approach includes education, health, housing, sanitation, opportunities and dignity.

COMMON MISTAKE

Wrong idea: Absolute and relative poverty are the same.

Correct idea: Absolute uses a minimum threshold; relative compares groups and inequality.

COMMON MISTAKE

Wrong idea: Poverty line is a permanent fixed rupee amount.

Correct idea: It changes by time, price level, method and committee approach.

COMMON MISTAKE

Wrong idea: Per capita income alone measures poverty fully.

Correct idea: The chapter gives 11 indicators because poverty is multidimensional.

COMMON MISTAKE

Wrong idea: Higher economic growth automatically removes poverty.

Correct idea: Growth may coexist with inequality and deprivation.

COMMON MISTAKE

Wrong idea: Gini value 1 means perfect equality.

Correct idea: Textbook: Gini 0 means equality; higher values mean more inequality.

COMMON MISTAKE

Wrong idea: Old textbook poverty percentages are current.

Correct idea: They are historical source data and must be labelled as such.

COMMON MISTAKE

Wrong idea: Employment programmes are the only poverty solution.

Correct idea: The chapter gives 10 broad measures covering productivity, tax, human capital, housing, welfare and inclusion.

How to Write Major Answers in the Exam

Q1. What is Poverty? Explain its Indicators

Best structure: Meaning -> income/non-income approach -> list and explain 11 indicators.

Q2. Discuss the Nature and Causes of Poverty

Best structure: Absolute vs Relative -> Historical -> Rural -> Economic -> Social -> Other causes.

Q3. Discuss Measures to Reduce Poverty

Best structure: Write all 10 measures in textbook sequence with 2-3 lines each.

Q4. Explain Poverty Line

Best structure: Meaning -> ICMR -> Planning Commission -> Dandekar-Rath -> Lakdawala -> Tendulkar -> international line -> limitation.

Q5. Explain Economic Causes of Poverty

Best structure: Low farm productivity -> land inequality -> weak cottage industry -> price rise -> unemployment.

Q6. Explain Employment Programmes

Best structure: Self-employment -> wage-employment -> PMRY -> NREGA/MGNREGA.

Practice Set A - MCQs

1. Poverty line is mainly used to identify:

- A. Absolute poverty
- B. Relative poverty only
- C. Inflation
- D. Banking

2. Poverty based on inequality between groups is:

- A. Relative poverty
- B. Absolute poverty
- C. Hidden inflation
- D. Barter

3. ICMR rural calorie norm in the textbook is:

- A. 2400
- B. 2100
- C. 2000
- D. 1000

4. ICMR urban calorie norm in the textbook is:

- A. 2100
- B. 2400
- C. 1800
- D. 1000

5. Tendulkar urban poverty-line figure in textbook for 2011-12 is:

- A. Rs. 1000
- B. Rs. 816
- C. Rs. 2400
- D. Rs. 57

6. Tendulkar rural figure in textbook is:

- A. Rs. 816
- B. Rs. 1000
- C. Rs. 49
- D. Rs. 20

7. Which tool studies income inequality graphically?

- A. Lorenz Curve
- B. CRR
- C. Repo
- D. HDI only

8. Gini Co-efficient closer to 1 indicates:

- A. greater inequality
- B. perfect equality
- C. zero poverty necessarily
- D. higher literacy

9. Which is a poverty indicator?

- A. Malnutrition
- B. Branding
- C. Repo rate
- D. Packaging

10. Which is also a poverty indicator?

- A. Unemployment
- B. OMO
- C. Advertising
- D. Demat

11. Which is an economic cause of poverty?

- A. Low agricultural productivity
- B. Labelling
- C. Bank rate
- D. Promotion

12. Which is a social cause of poverty?

- A. Low education
- B. OMO
- C. Inflation targeting only
- D. Barter

13. Which is a measure to reduce poverty?

- A. Human capital investment
- B. Increase inequality
- C. Reduce education
- D. Raise unemployment

14. NREGA is linked with:

- A. Employment guarantee
- B. Stock exchange
- C. Monetary policy
- D. Branding

15. Jan Dhan Yojana is mainly linked with:

- A. Financial inclusion
- B. Commodity money
- C. Inflation measurement
- D. OMO

Practice Set B - Conceptual MCQs

16. A family has enough calories but no clean water or schooling. Which idea fits best?

- A. Non-income poverty
- B. No poverty
- C. Only inflation
- D. Barter

17. A household earns less than the minimum poverty-line expenditure. It is:

- A. Absolutely poor
- B. Relatively rich
- C. Inflationary
- D. Banked

18. A low-income group is poor only compared with richer groups. This is:

- A. Relative poverty
- B. Absolute poverty
- C. Monetary poverty only
- D. None

19. A country has high GDP growth but benefits go mainly to top-income groups. Which indicator matters?

- A. Unequal income distribution
- B. OMO
- C. Repo
- D. CRR

20. A child suffers poor nutrition and weak health. Which poverty indicator?

- A. Malnutrition
- B. Housing only
- C. Tax only
- D. Trade

21. A village has repeated droughts and unstable farm income. Which cause?

- A. Natural rural cause
- B. Monetary-policy cause
- C. Marketing cause
- D. Banking cause

22. A woman has low education and limited job opportunities because of social discrimination. Which cause?

- A. Gender inequality
- B. OMO
- C. Repo
- D. Barter

23. Government spends on skills and education. Which anti-poverty measure?

- A. Human capital investment
- B. Defence expenditure
- C. Higher inequality
- D. Price rise

24. Government provides rationed essential goods at affordable rates. Which measure?

- A. Goods/services at reasonable rates
- B. OMO
- C. CRR
- D. Branding

25. A poor household gets access to formal banking and direct benefit transfer. Which measure?

- A. Financial inclusion / Jan Dhan
- B. Barter
- C. Repo
- D. PQLI

MCQ Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	A	2	A	3	A	4	A	5	A
6	A	7	A	8	A	9	A	10	A
11	A	12	A	13	A	14	A	15	A
16	A	17	A	18	A	19	A	20	A
21	A	22	A	23	A	24	A	25	A

Board-Style One-Line Questions

- What is poverty?
- What is poverty line?
- What is absolute poverty?
- What is relative poverty?
- What is Lorenz Curve?
- What is Gini Co-efficient?
- What is per capita consumption expenditure?
- What is malnutrition?
- What is life expectancy?
- What is infant mortality rate?
- What is per labour productivity?
- Give the full form of FAO.

Board-Style Short / Brief Questions

- Explain income concept of poverty.
- Explain modern approach to poverty.
- Explain the limitations of poverty line.
- Explain relative poverty.
- Explain any four indicators of poverty.
- Discuss health-related indicators of poverty.
- Explain any three economic causes of poverty.
- Explain social causes of poverty.
- Explain any four anti-poverty measures.
- Explain employment-oriented anti-poverty programmes.

Board-Style Detailed Questions

- What is poverty? Explain all indicators of poverty.
- Discuss the nature and causes of poverty.
- Discuss the measures to reduce poverty in India.
- Explain the evolution and limitations of the poverty line.
- Explain the economic causes of poverty in detail.
- Explain employment programmes for poverty eradication.
- Explain the importance of human capital, reasonable-price goods and financial inclusion in reducing poverty.

Application / Case-Based Practice

Case 1

A family earns slightly above a calorie-based poverty line but has no toilet, clean water or healthcare.

Answer: This shows why modern non-income poverty is broader than calorie/income poverty.

Case 2

A household's income is below the fixed minimum required for basic needs.

Answer: Absolute poverty.

Case 3

Group A earns far less than Groups B, C and D but remains above the survival minimum.

Answer: Relative poverty / income inequality.

Case 4

A rural area experiences repeated drought and crop failure.

Answer: Natural cause of rural poverty.

Case 5

Farmers produce little because irrigation, technology and training are weak.

Answer: Low agricultural productivity per labour.

Case 6

Prices of food rise rapidly while poor families' income remains unchanged.

Answer: Real purchasing power falls; poverty worsens.

Case 7

Government funds skill training for poor youth.

Answer: Human capital investment.

Case 8

Poor households receive formal bank accounts for benefit transfers.

Answer: Financial inclusion / Jan Dhan-type anti-poverty measure.

5-Minute Chapter Revision

Poverty: inability to satisfy minimum needs; modern view is multidimensional.

Types: Absolute = below fixed minimum; Relative = poor compared with richer groups.

Poverty Line: minimum consumption expenditure; textbook traces ICMR -> Planning Commission -> Dandekar-Rath -> Lakdawala -> Tendulkar.

11 Indicators: Consumption, Malnutrition, Life/IMR, Medical, Water, Toilets, Housing, Electricity, Education, Inequality, Unemployment.

Causes: Historical, Rural, Economic, Social, Other.

Main Economic Causes: Low farm productivity, land inequality, weak small industry, price rise, unemployment.

Measures: Agriculture, small industry, unorganised sector, tax, human capital, affordable goods, jobs, housing, social security, financial inclusion.

EXAM IMPORTANT

Ultra-short memory: Poverty = Low income + Low capabilities + Low opportunities.

One-Page Master Revision Sheet

Topic	Must Remember
Meaning	Income + non-income deprivation
Nature	Absolute + Relative
Poverty Line	Minimum per-capita consumption expenditure
ICMR	Rural 2400 cal; Urban 2100 cal
Tendulkar	Textbook: Rural 816; Urban 1000 for 2011-12
Relative Poverty Tools	Income groups, Lorenz Curve, Gini
Indicators	11
Economic Causes	5
Social Causes	Low education + Gender inequality
Other Causes	War + Defence + Defective policies
Measures	10
Employment	IRDP/SGSY, JRY/EAS, PMRY, NREGA/MGNREGA
Financial Inclusion	Jan Dhan

Have You Mastered This Chapter?

- ☐ I can explain income and non-income poverty.
- ☐ I can differentiate absolute and relative poverty.
- ☐ I know the textbook poverty-line evolution.
- ☐ I can explain all 11 poverty indicators.
- ☐ I can explain every cause category.
- ☐ I can explain all 10 measures.
- ☐ I can explain the employment programmes.
- ☐ I can identify which textbook figures are historical.

Chapter Glossary

Term	Simple Meaning
Poverty	Deprivation preventing satisfaction of minimum needs.
Poverty Line	Minimum per-capita consumption expenditure threshold.
Absolute Poverty	Poverty below a fixed minimum standard.
Relative Poverty	Poverty measured in relation to other income groups.
Lorenz Curve	Graphical representation of income/property distribution.
Gini Co-efficient	Numerical inequality measure based on Lorenz Curve.
Per Capita Consumption Expenditure	Average household consumption expenditure per person.
Malnutrition	Deficiency of calories/protein/vitamins/minerals in diet.
Life Expectancy	Expected average years of life from birth.
Infant Mortality Rate	Deaths before age one per 1,000 live births.
Per Labour Productivity	Output produced by one labourer in a given period.
Literacy Rate	Percentage of population meeting the textbook literacy definition.
FAO	Food and Agriculture Organization.
Human Capital	Education, skill and health embodied in people.
Financial Inclusion	Access to formal banking and financial services.

CHAPTER 5 COMPLETE

Poverty

SMIT SIR'S FINAL MESSAGE

This chapter is not only about identifying who is poor. It explains what poverty really means, how it is measured, why it continues, and how policy can break the cycle through productivity, education, jobs, security and opportunity.

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